Breakdown of the International System of Exchange

Despite emergency measures such as cutbacks in expenditure and increased taxation, the situation did not improve in England. So England decided to leave the Gold Standard. Immediately a great number of countries left the gold standard. Each nation adopted a policy of protectionism and devaluation of currency. Devaluation forced creditors to stop lending. This led to a world-wide credit contraction. Thus the defensive measures adopted by various nations to safeguard their economic interests led to an unprecedented decline in world economic activity. As its effect was deep and prolonged economists and historians call it the Great Depression.

Gold Standard is a monetary system where a country's currency or paper money carried a value directly linked to gold.

Repercussion in Politics

The Depression changed the political conditions in several countries. In England, the Labour Party was defeated in the general elections of 1931. In the USA, the Republican Party was rejected by the people in successive elections for about twenty years after the Depression.

2.2 Rise of Fascism and Nazism

(a) The Impact of War in Italy

The first of the nations of Western Europe to turn against the old ruling regime was Italy. During World War I the primary task of Italy was to keep the Austrians occupied on the Southern Front, while the British, French and Americans cornered Germany into submission along the battle lines in Flanders. The financial cost of the participation in the War was huge. Moreover, after the War, in the sharing of the spoils, Italy got less than she expected. The country suffered heavy losses in a war that was unpopular with both socialists and pro-Austrian Catholics. The nationalists were equally unhappy with the marginal gain in territory from the Treaty of Versailles. The War resulted in inflation. There were frequent protests and strikes. People held the rulers responsible for the humiliation at Versailles.

Emergence of Mussolini

In the elections held November 1919 in the aftermath of the Treaty of Versailles, Italian socialists, proclaiming that they were following Bolshevism (Communism in Soviet Russia), won about a third of the seats. Mussolini, son of a blacksmith and qualified as an elementary school master, in the end became a journalist with socialist views. A forceful speaker, Mussolini began to support the use of violence and broke with the socialists when they opposed Italy's entry into the War. When the Fascist Party was founded in 1919 Mussolini immediately joined it. As Fascists stood for authority, strength and discipline, support came from industrialists, nationalists, ex-soldiers, the middle classes and discontented youth. The Fascists resorted to violence freely. In October 1922, in the context of a long ministerial crisis, Mussolini organised the Fascist March on Rome. Impressed by the show of force, the King invited Mussolini to form a government. The inability of the Democratic Party leaders to combine and act with resolution facilitated Mussolini's triumph.

Fascism is a form of radical authoritarian ultra-nationalism, characterised by dictatorial power, forcible suppression of opposition and strong regimentation of society and of the economy, which came to prominence in early 20th-century Europe. –Wikipedia.

Fascists under Mussolini

In the 1924 elections, after intimidation of the electors, 65 per cent of the votes were cast for the Fascists. Matteotti, a socialist leader, who questioned the fairness of the elections was

Mussolini

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